CITY OF BATTLE CREEK, NEBRASKA

STATEMENT OF NET POSITION - MODIFIED CASH BASIS

SEPTEMBER 30, 2025

| | Governmental Activities | Business-Type Activities | Total |
|---|---|---|---|
| ASSETS | | | |
| Current Assets | | | |
| Cash and Cash Equivalents | $ 1,374,508 | $ 14,301 | $ 1,388,809 |
| County Treasurer Cash | 102,668 | - | 102,668 |
| Due from Other Funds | 100,000 | 267,153 | 367,153 |
| Total Current Assets | $ 1,577,176 | $ 281,454 | $ 1,858,630 |
| Non-Current Assets | | | |
| Investments | $ - | $ 24,843 | $ 24,843 |
| Restricted Assets | | | |
| Cash and Cash Equivalents | $ 35,371 | $ - | $ 35,371 |
| Investments | 17,664 | - | 17,664 |
| Total Restricted Assets | $ 53,035 | $ - | $ 53,035 |
| TOTAL ASSETS | $ 1,630,211 | $ 306,297 | $ 1,936,508 |
| LIABILITIES | | | |
| Current Liabilities | | | |
| Due to Other Funds | $ 267,153 | $ - | $ 267,153 |
| NET POSITION | | | |
| Restricted | | | |
| Lottery | $ 53,035 | $ - | $ 53,035 |
| Customer Deposits | - | 10,850 | 10,850 |
| Unrestricted | 1,310,023 | 295,447 | 1,605,470 |
| Total Net Position | $ 1,363,058 | $ 306,297 | $ 1,669,355 |
| TOTAL LIABILITIES AND NET POSITION | $ 1,630,211 | $ 306,297 | $ 1,936,508 |

THE ACCOMPANYING NOTES ARE AN INTEGRAL
PART OF THE FINANCIAL STATMENETS

CITY OF BATTLE CREEK, NEBRASKA

STATEMENT OF ACTIVITIES - MODIFIED CASH BASIS

FOR THE YEAR ENDED SEPTEMBER 30, 2025

| Functions/Programs | Expenditures | Program Receipts: Charges for Services | Program Receipts: Capital Grants and Contributions | Program Receipts: Operating Grants and Contributions | Net Receipts (Expenditures) |
|---|---|---|---|---|---|
| Governmental Activities: | | | | | |
| General Government | $ 86,802 | $ 2,408 | $ - | $ - | $ (84,394) |
| Community Development | 11,876 | 19,953 | - | - | 8,077 |
| Culture and Recreation | | | | | |
| Library | 150,783 | - | - | - | (150,783) |
| Park | 91,709 | 7,800 | - | 7,500 | (76,409) |
| Swimming Pool | 70,613 | 11,271 | - | - | (59,342) |
| Public Safety | | | | | |
| Fire Department | 94,033 | - | - | - | (94,033) |
| Police Department | 248,284 | 4,876 | - | - | (243,408) |
| Rescue Unit | 34,169 | 47,169 | - | - | 13,000 |
| Public Works | | | | | |
| Streets | 282,648 | - | - | - | (282,648) |
| Debt Service | | | | | |
| Principal | 24,081 | - | - | - | (24,081) |
| Interest and Fees | 3,058 | - | - | - | (3,058) |
| Total Governmental Activities | $ 1,098,056 | $ 93,477 | $ - | $ 7,500 | $ (997,079) |
| Business-Type Activities: | | | | | |
| Electric | $ 1,015,033 | $ 1,185,829 | $ - | $ - | $ 170,796 |
| Water | 239,320 | 305,816 | - | - | 66,496 |
| Sewer | 284,336 | 304,660 | 146,427 | - | 166,751 |
| Garbage | 88,842 | 107,128 | - | - | 18,286 |
| Debt Service | | | | | |
| Principal | 205,000 | - | - | - | (205,000) |
| Interest and Fees | 21,580 | - | - | - | (21,580) |
| Total Business-Type Activities | $ 1,854,111 | $ 1,903,433 | $ 146,427 | $ - | $ 195,749 |
| Total City | $ 2,952,167 | $ 1,996,910 | $ 146,427 | $ 7,500 | $ (801,330) |

THE ACCOMPANYING NOTES ARE AN INTEGRAL
PART OF THE FINANCIAL STATMENETS

CITY OF BATTLE CREEK, NEBRASKA

STATEMENT OF ACTIVITIES - MODIFIED CASH BASIS

FOR THE YEAR ENDED SEPTEMBER 30, 2025

| | Governmental Activities | Business-Type Activities | Total |
|---|---|---|---|
| Changes in Net Position | | | |
| Net Receipts (Expenditures) | $ (997,079) | $ 195,749 | $ (801,330) |
| General Receipts | | | |
| Property Taxes | $ 433,470 | $ - | $ 433,470 |
| Sales Tax | 263,144 | - | 263,144 |
| Intergovernmental | 305,346 | - | 305,346 |
| Franchise Fees | 21,401 | - | 21,401 |
| Investment Income | 16,165 | 665 | 16,830 |
| Miscellaneous Income | 8,414 | 12,949 | 21,363 |
| Transfers From (To) Other Funds | 208,240 | (208,698) | (458) |
| Total General Receipts and Transfers | $ 1,256,180 | $ (195,084) | $ 1,061,096 |
| Net Change in Net Position | $ 259,101 | $ 665 | $ 259,766 |
| Net Position - Beginning of Year | 1,103,957 | 305,632 | 1,409,589 |
| Net Position - End of Year | $ 1,363,058 | $ 306,297 | $ 1,669,355 |

THE ACCOMPANYING NOTES ARE AN INTEGRAL
PART OF THE FINANCIAL STATMENETS

CITY OF BATTLE CREEK, NEBRASKA

GOVERNMENTAL FUNDS STATEMENT OF ASSETS, LIABILITIES,
AND FUND BALANCES - MODIFIED CASH BASIS

SEPTEMBER 30, 2025

| | Major Governmental Funds | | Non-Major Governmental Funds | Total Governmental Funds |
|---|---|---|---|---|
| | General | Streets | | |
| ASSETS | | | | |
| Current Assets | | | | |
| Cash and Cash Equivalents | $ 1,373,745 | $ - | $ 763 | $ 1,374,508 |
| County Treasurer Cash | 102,668 | - | - | 102,668 |
| Due From Other Fund | 100,000 | - | - | 100,000 |
| Total Current Assets | $ 1,576,413 | $ - | $ 763 | $ 1,577,176 |
| Restricted Assets | | | | |
| Cash and Cash Equivalents | $ - | $ - | $ 35,371 | $ 35,371 |
| Investments | - | - | 17,664 | 17,664 |
| Total Restricted Assets | $ - | $ - | $ 53,035 | $ 53,035 |
| TOTAL ASSETS | $ 1,576,413 | $ - | $ 53,798 | $ 1,630,211 |
| LIABILITIES | | | | |
| Current Liabilities | | | | |
| Due to Other Funds | $ 99,990 | $ 47,163 | $ 120,000 | $ 267,153 |
| FUND BALANCES | | | | |
| Restricted | $ - | $ - | $ 53,035 | $ 53,035 |
| Committed | 328,004 | - | - | 328,004 |
| Assigned | 267,220 | - | - | 267,220 |
| Unassigned | 881,199 | (47,163) | (119,237) | 714,799 |
| Total Fund Balance | $ 1,476,423 | $ (47,163) | $ (66,202) | $ 1,363,058 |
| TOTAL LIABILITIES AND FUND BALANCES | $ 1,576,413 | $ - | $ 53,798 | $ 1,630,211 |

THE ACCOMPANYING NOTES ARE AN INTEGRAL
PART OF THE FINANCIAL STATMENETS

CITY OF BATTLE CREEK, NEBRASKA

GOVERNMENTAL FUNDS STATEMENT OF RECEIPTS, EXPENDITURES,
AND CHANGES IN FUND BALANCES - MODIFIED CASH BASIS

FOR THE YEAR ENDED SEPTEMBER 30, 2025

| | Major Governmental Funds | | Non-Major Governmental Funds | Total Governmental Funds |
|---|---|---|---|---|
| | General | Streets | | |
| RECEIPTS | | | | |
| Charges for Services | $ 62,253 | $ - | $ 31,224 | $ 93,477 |
| Operating Grants and Contributions | 7,500 | - | - | 7,500 |
| Property Taxes | 433,470 | - | - | 433,470 |
| Sales Tax | 263,144 | - | - | 263,144 |
| Intergovernmental | 128,934 | 176,412 | - | 305,346 |
| Franchise Fees | 21,401 | - | - | 21,401 |
| Investment Income | 15,536 | - | 629 | 16,165 |
| Miscellaneous Receipts | 5,758 | 1,646 | 1,010 | 8,414 |
| Total Receipts | $ 937,996 | $ 178,058 | $ 32,863 | $ 1,148,917 |
| EXPENDITURES | | | | |
| General Government | $ 86,802 | $ - | $ - | $ 86,802 |
| Community Development | - | - | 11,876 | 11,876 |
| Culture and Recreation | | | | |
| Library | 150,783 | - | - | 150,783 |
| Park | 91,709 | - | - | 91,709 |
| Swimming Pool | - | - | 70,613 | 70,613 |
| Public Safety | | | | |
| Fire Department | 94,033 | - | - | 94,033 |
| Police Department | 248,284 | - | - | 248,284 |
| Rescue Unit | 34,169 | - | - | 34,169 |
| Public Works | | | | |
| Streets | - | 282,648 | - | 282,648 |
| Debt Service | | | | |
| Principal | 24,081 | - | - | 24,081 |
| Interest and Fees | 3,058 | - | - | 3,058 |
| Total Expenditures | $ 732,919 | $ 282,648 | $ 82,489 | $ 1,098,056 |
| EXCESS (DEFICIENCY) OF RECEIPTS OVER EXPENDITURES | $ 205,077 | $ (104,590) | $ (49,626) | $ 50,861 |
| OTHER FINANCING SOURCES (USES) | | | | |
| Transfers From (To) Other Funds | $ 45,300 | $ 104,590 | $ 58,350 | $ 208,240 |
| NET CHANGE IN FUND BALANCES | $ 250,377 | $ - | $ 8,724 | $ 259,101 |
| FUND BALANCES - BEGINNING OF YEAR | 1,226,046 | (47,163) | (74,926) | 1,103,957 |
| FUND BALANCES - ENDING OF YEAR | $ 1,476,423 | $ (47,163) | $ (66,202) | $ 1,363,058 |

THE ACCOMPANYING NOTES ARE AN INTEGRAL
PART OF THE FINANCIAL STATMENETS

CITY OF BATTLE CREEK, NEBRASKA

PROPRIETARY FUNDS
STATEMENT OF NET POSITION

SEPTEMBER 30, 2025

| | Major Proprietary Funds | | | Non-Major Proprietary Fund | Total Proprietary Funds |
|---|---|---|---|---|---|
| | Electric | Water | Sewer | | |
| ASSETS | | | | | |
| Current Assets | | | | | |
| Cash and Cash Equivalents | $ 6,490 | $ 4,691 | $ 3,120 | $ - | $ 14,301 |
| Accounts Receivable, Net | 96,987 | 27,239 | 27,276 | 8,422 | 159,924 |
| Accrued Revenues | 20,236 | 8,154 | 8,573 | 3,245 | 40,208 |
| Prepaid Expenses | 12,836 | 4,278 | 1,719 | - | 18,833 |
| Due from Other Funds | 152,837 | 7,163 | 107,153 | - | 267,153 |
| Inventories | 26,654 | - | - | - | 26,654 |
| Total Current Assets | $ 316,040 | $ 51,525 | $ 147,841 | $ 11,667 | $ 527,073 |
| Non-Current Assets | | | | | |
| Capital Assets, Net | $ 1,242,477 | $ 1,494,927 | $ 1,102,801 | $ - | $ 3,840,205 |
| Investments | 24,843 | - | - | - | 24,843 |
| Total Non-Current Assets | $ 1,267,320 | $ 1,494,927 | $ 1,102,801 | $ - | $ 3,865,048 |
| TOTAL ASSETS | $ 1,583,360 | $ 1,546,452 | $ 1,250,642 | $ 11,667 | $ 4,392,121 |
| LIABILITIES | | | | | |
| Current Liabilities | | | | | |
| Accounts Payable | $ 84,679 | $ 21,079 | $ 2,318 | $ 7,432 | $ 115,508 |
| Accrued Expenses | - | 3,041 | 2,309 | - | 5,350 |
| Customer Deposits | 10,850 | - | - | - | 10,850 |
| Current Portion of Bonds Payable | - | 119,385 | 90,615 | - | 210,000 |
| Total Current Liabilities | $ 95,529 | $ 143,505 | $ 95,242 | $ 7,432 | $ 341,708 |
| Long-Term Liabilities | | | | | |
| Bonds Payable, Net of Current Portion | $ - | $ 400,793 | $ 304,207 | $ - | $ 705,000 |
| Total Liabilities | $ 95,529 | $ 544,298 | $ 399,449 | $ 7,432 | $ 1,046,708 |
| NET POSITION | | | | | |
| Net Investment in Capital Assets | $ 1,242,477 | $ 974,749 | $ 707,979 | $ - | $ 2,925,205 |
| Restricted | 10,850 | - | - | - | 10,850 |
| Unrestricted | 234,504 | 27,405 | 143,214 | 4,235 | 409,358 |
| Total Net Position | $ 1,487,831 | $ 1,002,154 | $ 851,193 | $ 4,235 | $ 3,345,413 |
| TOTAL LIABILITIES AND NET POSITION | $ 1,583,360 | $ 1,546,452 | $ 1,250,642 | $ 11,667 | $ 4,392,121 |

THE ACCOMPANYING NOTES ARE AN INTEGRAL
PART OF THE FINANCIAL STATMENETS

CITY OF BATTLE CREEK, NEBRASKA

PROPRIETARY FUNDS
STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED SEPTEMBER 30, 2025

| | Major Proprietary Funds | | | Non-Major Proprietary Fund | Total Proprietary Funds |
|---|---|---|---|---|---|
| | Electric | Water | Sewer | | |
| CASH FLOWS FROM OPERATING ACTIVITIES | | | | | |
| Operating Receipts | | | | | |
| Cash Received from Customers | $ 1,185,829 | $ 305,816 | $ 304,660 | $ 107,128 | $ 1,903,433 |
| Other Cash Receipts | 9,875 | 1,440 | 1,270 | 364 | 12,949 |
| Operating Disbursements | | | | | |
| Cash Paid to Suppliers | (809,938) | (93,857) | (49,161) | (88,478) | (1,041,434) |
| Cash Paid to Employees | (159,146) | (67,931) | (65,850) | - | (292,927) |
| Other Cash Disbursements | (31,418) | (10,120) | (9,869) | (364) | (51,771) |
| NET CASH FLOWS PROVIDED BY OPERATING ACTIVITIES | $ 195,202 | $ 135,348 | $ 181,050 | $ 18,650 | $ 530,250 |
| CASH FLOWS FROM NON-CAPITAL FINANCING ACTIVITES | | | | | |
| Transfers From (To) Other Funds | $ (180,671) | $ 60,875 | $ (70,252) | $ (18,650) | $ (208,698) |
| NET CASH FLOWS PROVIDED BY (USED) IN NON-CAPITAL FINANCING ACTIVITES | $ (180,671) | $ 60,875 | $ (70,252) | $ (18,650) | $ (208,698) |
| CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES | | | | | |
| Purchases of Capital Assets | $ (14,531) | $ (67,412) | $ (159,456) | $ - | $ (241,399) |
| Grant Proceeds | - | - | 146,427 | - | 146,427 |
| Principal Payments of Bonds Payable | - | (116,542) | (88,458) | - | (205,000) |
| Interest and Fees | - | (12,269) | (9,311) | - | (21,580) |
| NET CASH FLOWS (USED) IN CAPITAL AND RELATED FINANCING ACTIVITIES | $ (14,531) | $ (196,223) | $ (110,798) | $ - | $ (321,552) |
| CASH FLOWS PROVIDED BY INVESTING ACTIVITIES | | | | | |
| Interest | $ 607 | $ 35 | $ 23 | $ - | $ 665 |
| Change in Investments | (559) | - | - | - | (559) |
| NET CASH FLOWS PROVIDED BY INVESTING ACTIVITIES | $ 48 | $ 35 | $ 23 | $ - | $ 106 |
| NET CHANGE IN CASH, CASH EQUIVALENTS AND RESTRICTED CASH | $ 48 | $ 35 | $ 23 | $ - | $ 106 |

THE ACCOMPANYING NOTES ARE AN INTEGRAL
PART OF THE FINANCIAL STATMENETS

CITY OF BATTLE CREEK, NEBRASKA

PROPRIETARY FUNDS
STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED SEPTEMBER 30, 2025

| | Major Proprietary Funds | | | Non-Major Proprietary Fund | Total Proprietary Funds |
|---|---|---|---|---|---|
| | Electric | Water | Sewer | | |
| CASH, CASH EQUIVALENTS AND RESTRICTED CASH - BEGINNING OF YEAR | 6,442 | 4,656 | 3,097 | - | 14,195 |
| CASH, CASH EQUIVALENTS AND RESTRICTED CASH - ENDING OF YEAR | $ 6,490 | $ 4,691 | $ 3,120 | $ - | $ 14,301 |
| CASH FLOWS FROM OPERATING ACTIVITIES | | | | | |
| Net Change in Net Position from Operations | $ 115,820 | $ 72,808 | $ 132,534 | $ 19,330 | $ 340,492 |
| Reconciliation of Net Change in Net Position from Operations to Net Cash Flows Provided (Used) by Operating Activities | | | | | |
| Depreciation | 77,388 | 53,124 | 57,270 | - | 187,782 |
| Changes in Assets and Liabilities | | | | | |
| Accounts Receivable | (4,606) | (3,264) | (2,086) | (334) | (10,290) |
| Accrued Revenues | 2,080 | 65 | 10 | (376) | 1,779 |
| Prepaid Expenses | (1,437) | (478) | (199) | - | (2,114) |
| Inventories | 1,465 | - | - | - | 1,465 |
| Accounts Payable | 3,442 | 13,093 | (6,479) | 30 | 10,086 |
| Customer Deposits | 1,050 | - | - | - | 1,050 |
| NET CASH FLOWS PROVIDED BY OPERATING ACTIVITIES | $ 195,202 | $ 135,348 | $ 181,050 | $ 18,650 | $ 530,250 |

THE ACCOMPANYING NOTES ARE AN INTEGRAL
PART OF THE FINANCIAL STATMENETS

CITY OF BATTLE CREEK, NEBRASKA

BUDGETARY COMPARISON SCHEDULE

ALL FUNDS

FOR THE YEAR ENDED SEPTEMBER 30, 2025

UNAUDITED

| | Budget Original & Final | Actual Budgetary Basis |
|---|---|---|
| RESOURCES | | |
| Charges for Services | $ 7,582,289 | $ 7,691,117 |
| Grants and Contributions | - | 153,927 |
| Property Taxes | 391,626 | 433,470 |
| Sales Tax | 270,404 | 263,144 |
| Intergovernmental | 278,685 | 305,346 |
| Franchise Fees | - | 21,401 |
| Investment Income | - | 16,830 |
| Miscellaneous Income | - | 21,363 |
| Total Rescources | $ 8,523,004 | $ 8,906,598 |
| CHARGES TO APPROPRIATIONS | | |
| General Government | $ 85,000 | $ 86,802 |
| Community Development | 16,080 | 11,876 |
| Culture and Recreation | 290,500 | 313,105 |
| Public Safety | 320,550 | 376,486 |
| Public Works | 300,000 | 282,648 |
| Electric | 1,100,000 | 1,015,033 |
| Water | 250,000 | 239,320 |
| Sewer | 275,000 | 284,336 |
| Garbage | 88,500 | 88,842 |
| Nursing Home | 5,616,274 | 4,919,193 |
| Debt Service | | |
| Principal | 489,205 | 229,081 |
| Interest and Fees | - | 24,638 |
| Total Charges to Appropriations | $ 8,831,109 | $ 7,871,360 |
| EXCESS (DEFINCIENCY) OF RESOURCES OVER CHARGES TO APPROPRIATIONS | $ (308,105) | $ 1,035,238 |

CITY OF BATTLE CREEK, NEBRASKA

NOTE TO BUDGETARY COMPARISON SCHEDULE

SEPTEMBER 30, 2025

UNAUDITED

NOTE 1 – BASIS OF ACCOUNTING

Because state law requires a municipality's annual budget be prepared on the cash basis of accounting, the budget adopted by the City Council is inconsistent with generally accepted accounting principles. The budgetary comparison schedules have been prepared on the cash basis of accounting.

The City Council follows these procedures in establishing the budgetary data reflected in the supplementary information.

1. On or before August 1st – The City Council shall prepare a proposed operating budget statement in writing and file it with the secretary or clerk.
2. On or before September 1st – Notice of place and time of public hearing on the proposed budget statement, together with a summary of the proposed budget statement, shall be published at least five days prior to the date set for hearing.
3. Public hearings are conducted to obtain taxpayer comments.
4. On or before September 20th – A copy of the adopted budget must be filed with the levying board and the State Auditor's Office. Proof of publication shall be attained.
5. The City has elected to prepare an all-purpose document. The operations of the City's Special Revenue, Proprietary, General and Debt Service Funds are combined in the budget. Legally, the City cannot expend more than the total budget of expenditures unless it adopts a revised budget. Appropriations lapse at year-end.
6. Transfers among the enterprise funds and between the enterprise funds and other City funds must be authorized by the City Council.